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Asia Quant Perspectives | Asia Pacific

The Momentum Reset: When to Re-engage and Who Leads Next

The recent unwinding of Momentum is one of the largest and fastest on record. History argues for waiting for stabilization rather than capitulation. Assuming no new low, our framework points to a potential re-entry signal around mid-August and a likely reset in market leadership.

QuantWise 

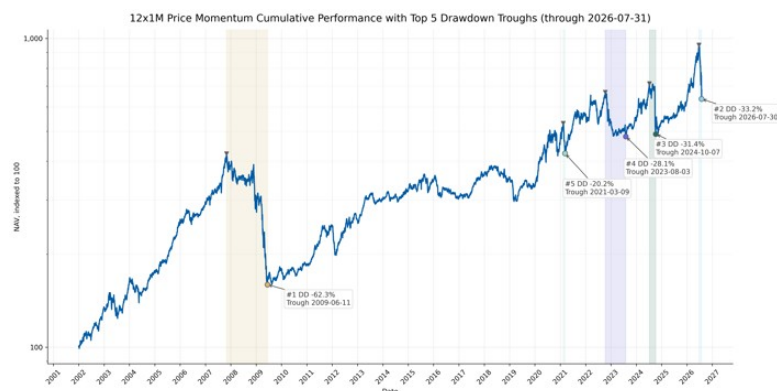
A historic unwinding of Momentum: The 12x1M Price Momentum factor has fallen more than 33% from its recent peak, making this the second-largest drawdown since 2002, surpassed only by the episode during the Global Financial Crisis. The speed of the correction has also been exceptional, reflecting the rapid unwinding of crowded leadership positions.

History argues for stabilization, not capitulation: Previous Momentum drawdowns of at least 15% took a median of ~114 calendar days to reach their eventual trough. Rather than attempting to identify the exact bottom, investors should wait for evidence that downside pressure is beginning to moderate. Assuming no new low, our framework points to a potential re-entry signal around mid-August.

Position ahead of confirmation: A valid re-entry signal has not yet emerged, but investors need not remain completely inactive. History suggests focusing on improving Momentum, Earnings Revisions, and Quality during the transition period.

Reassess market leadership: Technology Hardware and Semiconductors led across multiple horizons prior to the recent Momentum peak. However, historical episodes show low continuity between pre- and post-crash industry rankings, reinforcing the importance of reassessing leadership as the next Momentum cycle develops.

Exhibit 1: One of the Largest Momentum Drawdowns Since 2002 – MSCI AC Asia Pacific ex Japan



Source: FactSet, Morgan Stanley Research.

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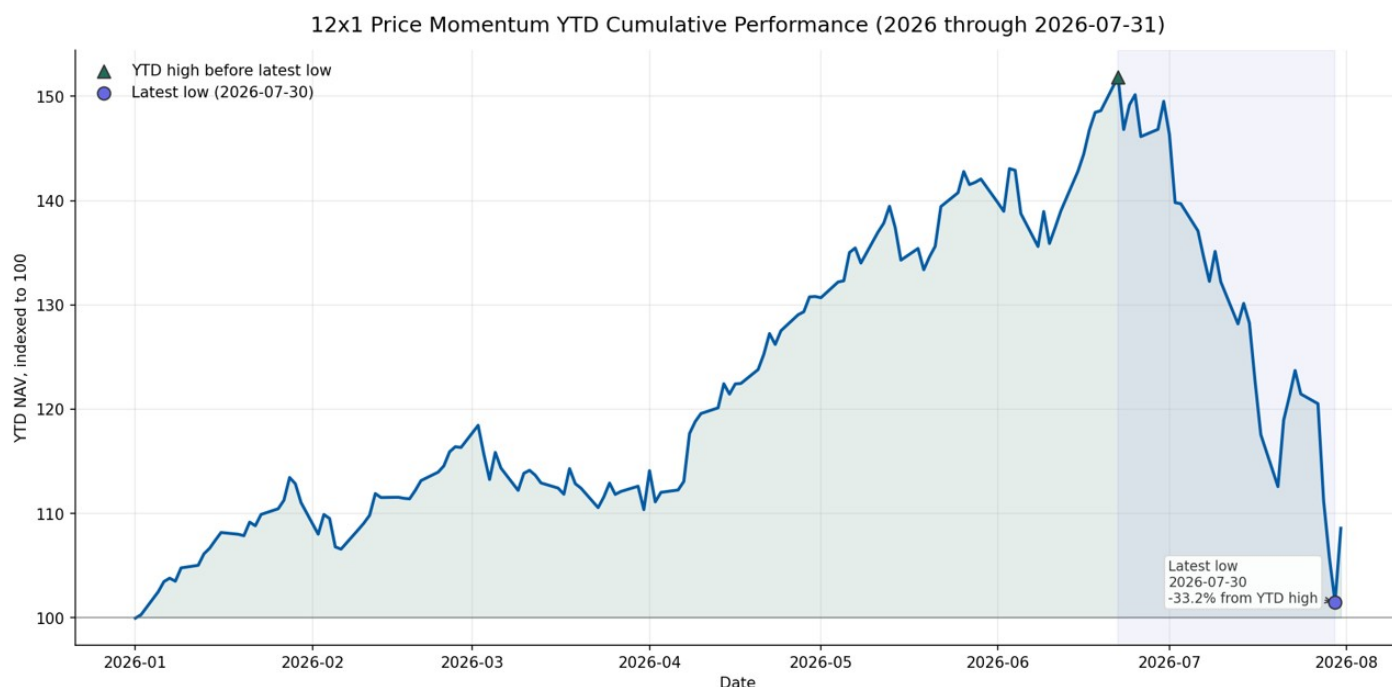
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Market Dynamics

A Historic Momentum Reset

The recent correction in Asia's 12x1 Price Momentum factor ranks among the most severe Momentum unwindings of the past two decades. As of 31 July, the factor had declined more than 33% from its recent peak ([Exhibit 2](#)), making this the second-largest drawdown since 2002, surpassed only by the episode during the Global Financial Crisis ([Exhibit 1](#)). The correction has also unfolded with exceptional speed – most of the losses occurred within only a few weeks, reflecting the rapid unwinding of one of the region's most crowded investment themes.

Exhibit 2: YTD performance of 12x1M Price Momentum



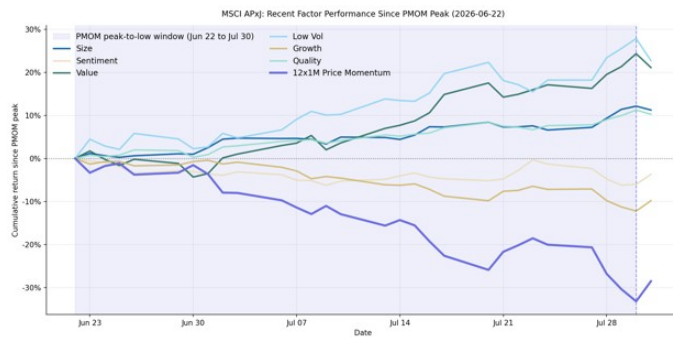
Source: FactSet, Morgan Stanley Research.

The recent sell-off has also been accompanied by an unusually sharp rotation across style factors. Since the Momentum peak on 22 June and as of 31 July, 12x1 Price Momentum has declined 28.5%, while Low Volatility (+22.7%) and Value (+21.1%) have become the strongest-performing factors ([Exhibit 3](#)). Small Size (+11.2%) and Quality (+10.3%) also generated double-digit gains, whereas Sentiment (-3.7%) and Growth (-9.8%) weakened alongside Momentum. The nearly 50% spread between Low Volatility and Price Momentum illustrates the exceptional scale of the recent style rotation.

Importantly, this represents a sharp reversal from the broader market environment that prevailed earlier in the year. Following the recent correction, Sentiment is now the strongest-performing major factor year-to-date, returning 12.0%, followed by 12x1M Price Momentum (8.6%) ([Exhibit 4](#)). By contrast, Low Volatility remains the weakest major factor year-to-date despite its recent rebound.

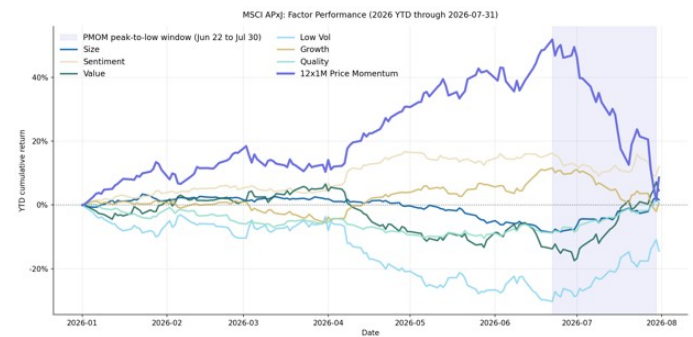
The abrupt change in cross-factor leadership suggests that the recent correction reflects the rapid unwinding of previously crowded Momentum positioning, rather than a gradual evolution of the factor cycle.

Exhibit 3: Recent factor performance since the Momentum peak



Source: FactSet, Morgan Stanley Research.

Exhibit 4: YTD factor performance

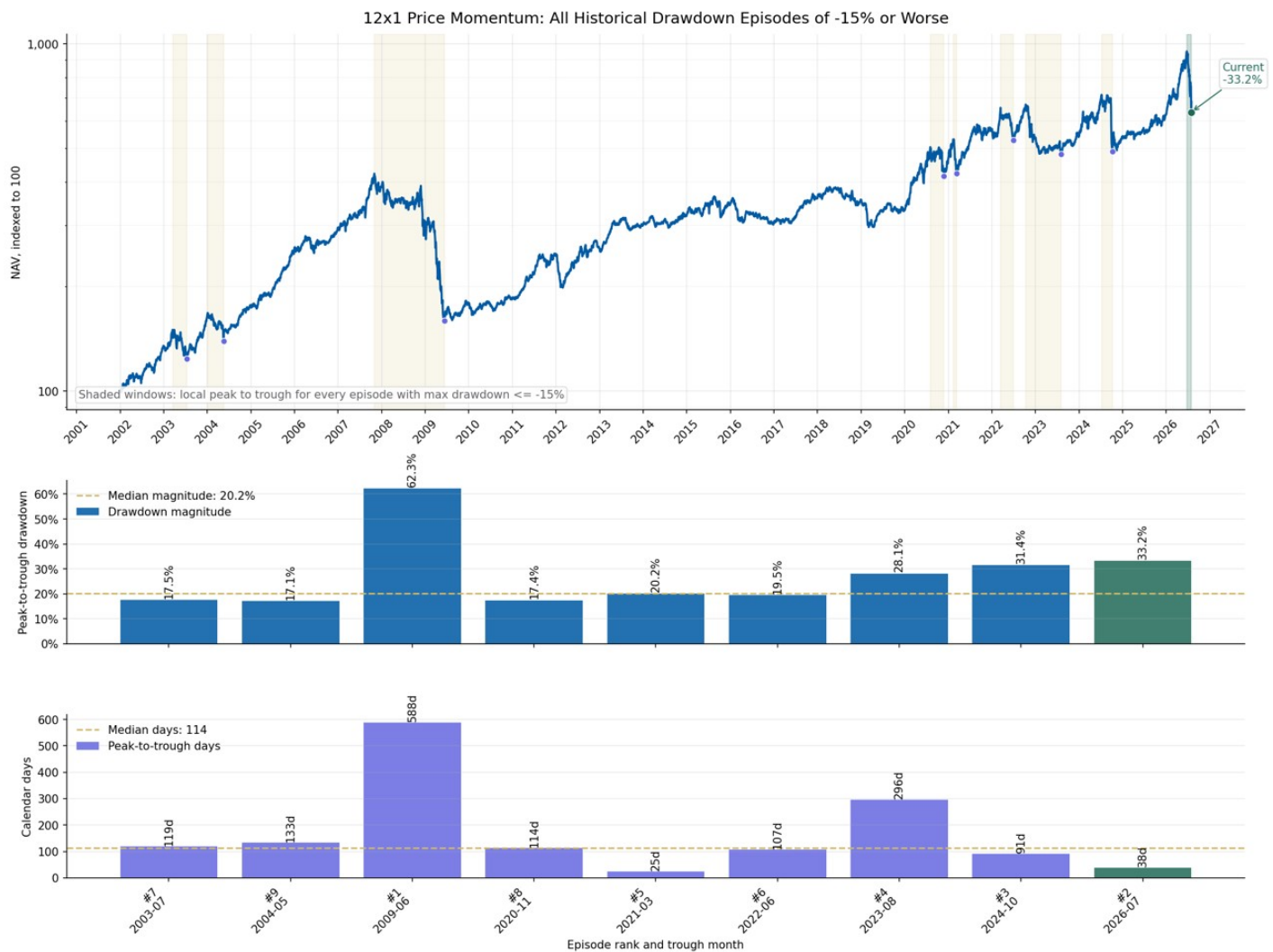


Source: FactSet, Morgan Stanley Research.

The distinction is important because it shapes the investment question. The current episode should not simply be viewed as a period of weak Momentum performance; rather, it represents one of the most pronounced style rotations in recent years. Whether this rotation ultimately proves temporary – or marks the beginning of a more persistent change in market leadership – will determine both the appropriate timing for rebuilding Momentum exposure and the characteristics of the next leadership cohort.

To place the current episode into historical context, we first examine all instances in which 12x1 Price Momentum experienced a drawdown of at least 15% ([Exhibit 5](#)). This broad sample provides a long-run perspective on the depth and duration of Momentum corrections before introducing a more comparable set of rapid drawdown episodes to evaluate the timing of re-entry signals and the evolution of factor and industry leadership.

Exhibit 5: Historical episodes of Momentum drawdown of 15% or worse



Source: FactSet, Morgan Stanley Research.

When Will Momentum Recover?

The recent correction represents one of the most pronounced Momentum unwindings in more than two decades. The key investment question, however, is not whether Momentum ultimately recovers, but how long the adjustment process typically lasts and when investors should begin rebuilding exposure.

Across historical episodes in which 12×1 Price Momentum declined at least 15%, the median peak-to-trough period was approximately 114 calendar days ([Exhibit 5](#)). The current drawdown has progressed through only around one-third of that historical duration, suggesting that the correction may not yet have fully run its course.

This should not, however, be interpreted as a recommendation to remain entirely disengaged until the eventual trough. The final low is extremely difficult to identify in real time, and Momentum has often staged meaningful interim rebounds before reaching its ultimate trough, including during the 2009 and 2023 episodes. Waiting for definitive confirmation therefore risks missing a meaningful portion of the subsequent recovery, while rebuilding exposure solely because the drawdown appears large risks entering before selling pressure has stabilized.

The more relevant investment question, therefore, is not whether Momentum will recover, but when investors should begin rebuilding exposure. Rather than attempting to identify the exact bottom, the objective is to determine when downside pressure has moderated sufficiently for the risk-reward profile to improve.

Note that our analysis focuses on the long-horizon 12×1M Momentum factor, which measures returns over the preceding 12 months while excluding the most recent month. Its drawdown and recovery characteristics may not apply to shorter-horizon Momentum signals, whose turnover and mean-reversion dynamics can differ materially.

When Should Investors Re-engage?

The historical analysis above considers all episodes in which 12×1M Price Momentum experienced a drawdown of at least 15%, providing useful long-run context for how Momentum has historically recovered. However, the current correction has been unusual not only in magnitude but also in speed. To construct a more comparable historical sample, we therefore focus on episodes in which the factor declined at least 15% within a rolling 20-trading-day window, representing a drawdown of approximately three standard deviations based on the historical distribution of rolling 20-day Momentum returns.

This narrower definition isolates rapid Momentum unwindings that more closely resemble the current episode. Rather than attempting to forecast the precise bottom, we use these events to evaluate when selling pressure had moderated sufficiently for Momentum exposure to be rebuilt on a more favorable risk-reward basis.

Historically, re-entering after downside volatility began to moderate produced better risk-adjusted outcomes than aggressively averaging into an ongoing sell-off. A stabilization-based approach also reduces the behavioural risks associated with attempting to time market turning points in real time.

Re-entry Framework

Our re-entry framework is designed to distinguish temporary rebounds from genuine stabilization within the rapid-drawdown episodes identified above.

For each episode, we apply a live rule intended to replicate a decision that could have been made using only information available at the time. A valid re-entry signal requires three conditions:

- At least 10 trading days have elapsed since the most recent low.
- The factor has rebounded by more than 0.5 times the prevailing 15-day volatility.
- Current 15-day volatility is no higher than it was at the most recent low.

The “most recent low” is updated dynamically whenever Momentum establishes a new trough. The waiting period therefore resets if the drawdown continues, helping to prevent premature re-entry during an ongoing deterioration.

An episode is included in the final sample only if the stabilization rule produces a valid signal within the event window. This distinction is important as not every rapid Momentum sell-off generates an investable re-entry opportunity. Prolonged or overlapping corrections can repeatedly reset the stabilization process, meaning that some drawdown episodes never produce a valid signal. The results below should therefore be interpreted as historical performance following validated stabilization signals, rather than performance following every Momentum correction.

What Does This Imply for the Current Episode?

Based on current observations, and assuming Momentum does not establish a new low, we estimate that the re-entry signal could emerge around mid-August. This timing should be viewed as indicative rather than definitive. Renewed weakness would reset the clock, while persistently elevated volatility could delay the signal even without a new trough. In

addition, the historical sample of comparable rapid drawdowns is limited, so the projected timing is best treated as a reference point rather than a precise forecast.

Exhibit 6: Number of days needed until the re-entry signal emerges

Event ID	Peak Date	Breach Date	Latest low used at signal	Signal date	# Days (Peak to Signal)	# Days (Breach to Signal)	# Days (Latest Low to Signal)
1	11/25/2008	12/8/2008	1/6/2009	1/20/2009	56	43	14
2	4/28/2009	5/7/2009	6/11/2009	6/25/2009	58	49	14
3	1/9/2012	2/3/2012	2/28/2012	3/13/2012	64	39	14
4	10/29/2020	11/25/2020	11/25/2020	12/17/2020	49	22	22
5	2/12/2021	3/4/2021	3/9/2021	3/29/2021	45	25	20
6	10/25/2022	11/15/2022	2/3/2023	2/17/2023	115	94	14
7	9/2/2024	10/15/2024	11/13/2024	11/27/2024	86	43	14
Median					58	43	14

Signal Date based on Median

Current	6/22/2026	7/13/2026	7/30/2026	-	8/19/2026	9/11/2026	8/13/2026
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Source: FactSet, Morgan Stanley Research.

How Should Investors Position?

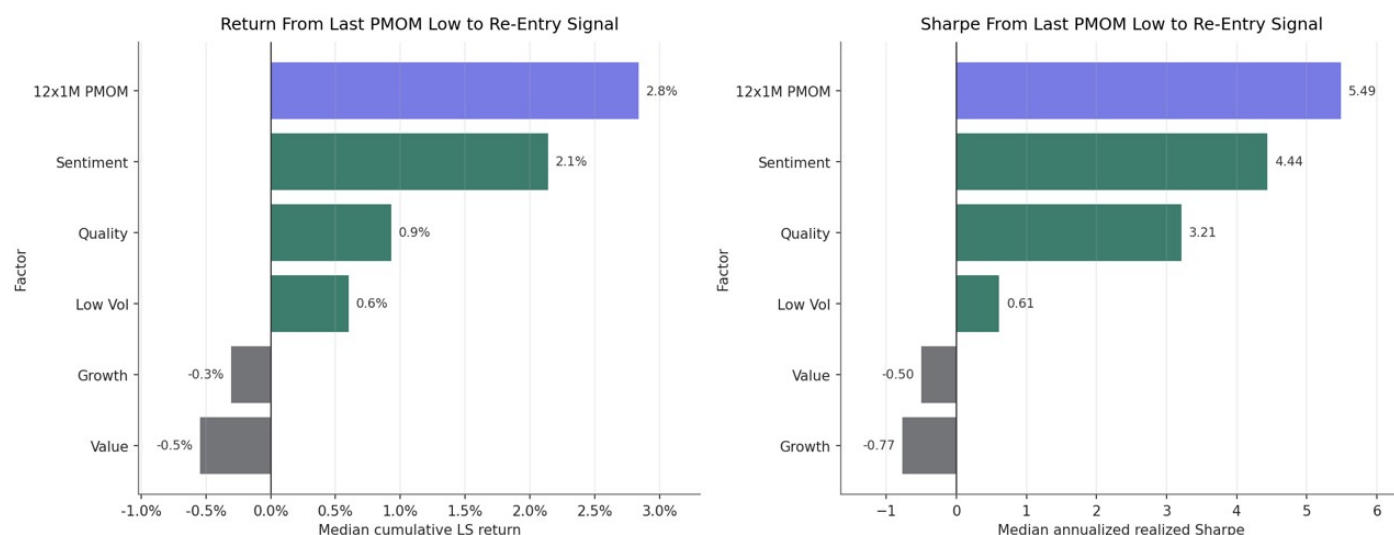
Positioning Before Confirmation

Although our stabilization framework has not yet generated a valid re-entry signal, investors do not necessarily need to remain completely inactive. Instead, the more relevant question is how portfolios have historically behaved during the transition from an extreme Momentum sell-off to a confirmed stabilization signal.

To address this question, we examine historical factor performance between the most recent Momentum low and the subsequent re-entry signal. This interval represents the transition phase during which downside pressure begins to moderate, but before the framework would have formally recommended rebuilding Momentum exposure.

Exhibit 7: Factor performance from the last momentum low to re-entry

Historical Factor Performance: Last Low to Selected Re-Entry Signal



Source: FactSet, Morgan Stanley Research.

Historically, Price Momentum and Sentiment led during this transition period ([Exhibit 7](#)). Between the most recent Momentum low and the subsequent re-entry signal, 12x1M Price Momentum generated the strongest median return (2.8%) and the highest median annualized Sharpe ratio (5.49). Sentiment ranked second, with a median return of 2.1% and a Sharpe ratio of 4.44. Quality also generated positive returns with attractive risk-adjusted performance, while Value and Growth generally lagged before stabilization was confirmed.

The implication is not that investors should immediately rebuild broad Momentum exposure. Rather, during this transition period investors may begin identifying or selectively accumulating companies exhibiting strengthening Price Momentum, improving earnings estimate revisions and resilient Quality characteristics. These factors have historically responded earliest as selling pressure subsided.

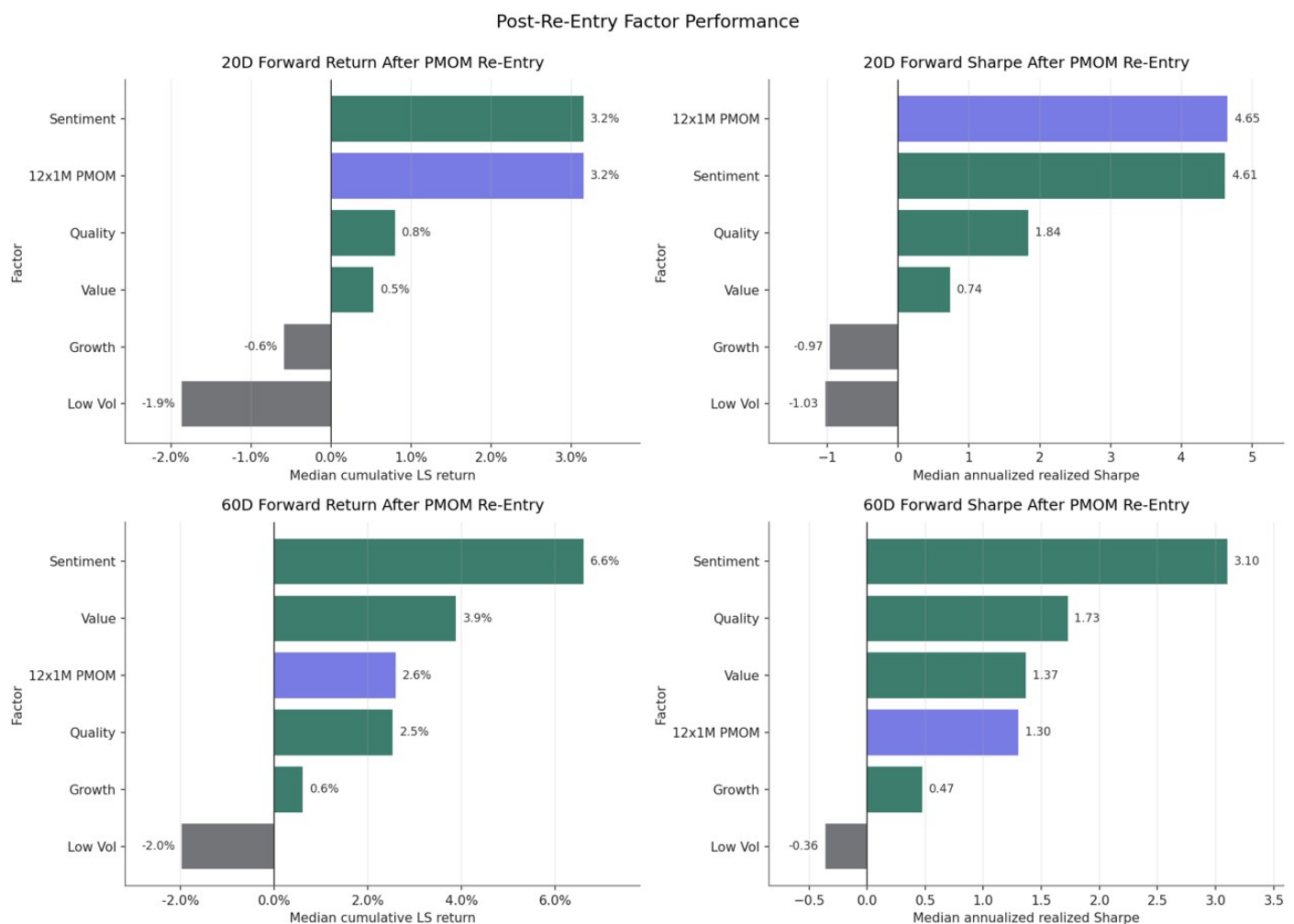
Positioning after Stabilization

The historical factor profile evolves meaningfully once the stabilization signal has been confirmed. Rather than being driven solely by recovering price trends, the opportunity set broadens as improving fundamentals begin to reinforce the recovery.

During the first 20 trading days following a valid re-entry signal, Price Momentum and Sentiment generated the strongest median returns, both at approximately 3.2%. They also showed the highest risk-adjusted performance, with median annualized Sharpe ratios of 4.65 for Price Momentum and 4.61 for Sentiment. Quality and Value produced more modest positive returns, while Growth and Low Volatility generally lagged.

Over a 60-day horizon, the recovery became broader. Sentiment remained the strongest factor, generating a median return of 6.6% and a median Sharpe ratio of 3.10. Value and Quality also improved materially, with median returns of 3.9% and 2.5%, respectively. Although Price Momentum remained a positive contributor, its relative advantage narrowed as leadership broadened beyond the initial technical rebound.

Exhibit 8: Factor performance 20 and 60 trading days after a re-entry signal



Source: FactSet, Morgan Stanley Research.

Taken together, the historical evidence points to a two-stage recovery process. The transition phase before confirmation has historically favoured Price Momentum and Sentiment as systematic de-risking subsided and price trends began to recover. Once stabilization was confirmed, leadership broadened beyond the initial rebound, with improving earnings expectations and stronger fundamentals increasingly supporting Value and Quality alongside Momentum.

Accordingly, once the stabilization framework generates a valid re-entry signal, investors should gradually rebuild Momentum exposure while broadening allocations toward companies where improving price trends are reinforced by positive earnings revisions and strengthening fundamentals. Historically, this balanced approach has provided a more robust framework for participating in the next phase of the Momentum cycle than relying on Price Momentum in isolation.

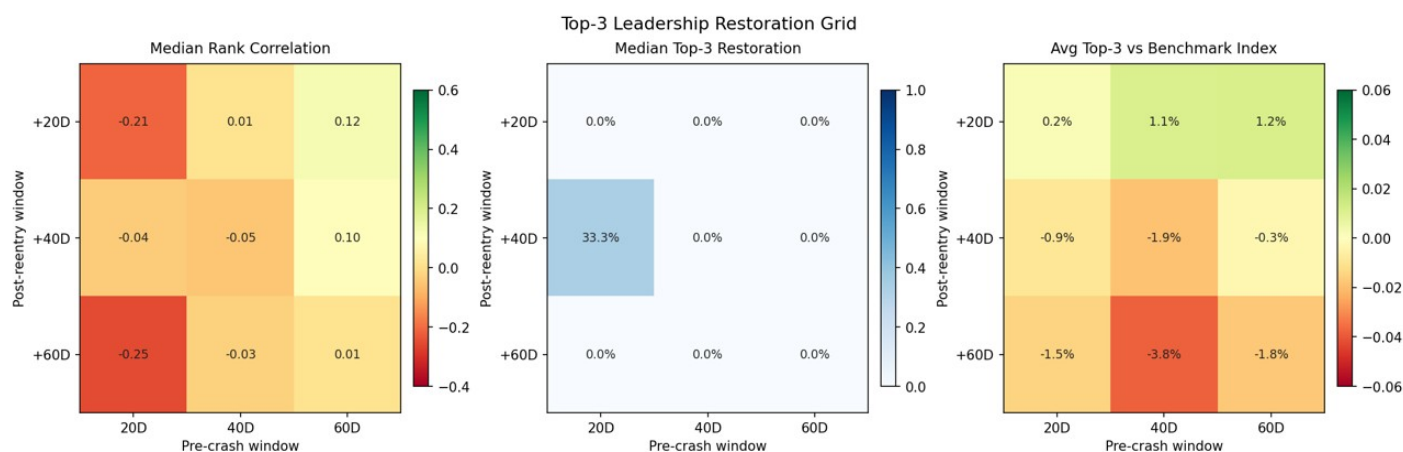
Who Leads after the Momentum Reset?

A key question following the recent Momentum unwinding is how industry leadership evolves once Momentum stabilizes. AI- and Semiconductor-related industries were the principal drivers of regional Momentum performance over the past 18 months, making the recent correction the unwinding of one of the region's most concentrated leadership trades.

History suggests investors should be cautious about assuming that the previous winners will automatically lead the next Momentum cycle. [Exhibit 8](#) shows that industry leadership following major Momentum crashes has exhibited remarkably little persistence. Median rank correlations between pre- and post-crash industry rankings are generally close to zero – and are often negative – indicating that the relative performance hierarchy typically changes meaningfully after large Momentum unwindings.

Consistent with this, restoration of the previous Top Three industry leaders has been uncommon. Across almost every combination of pre- and post-crash windows, the median restoration rate is zero, implying that the former leaders rarely reclaim their previous dominance. Moreover, the former Top Three industries have generally failed to outperform following the crash, with relative returns versus the benchmark becoming increasingly negative over longer post-crash horizons.

Exhibit 9: Restoration of sector (industry group) leadership post-crash

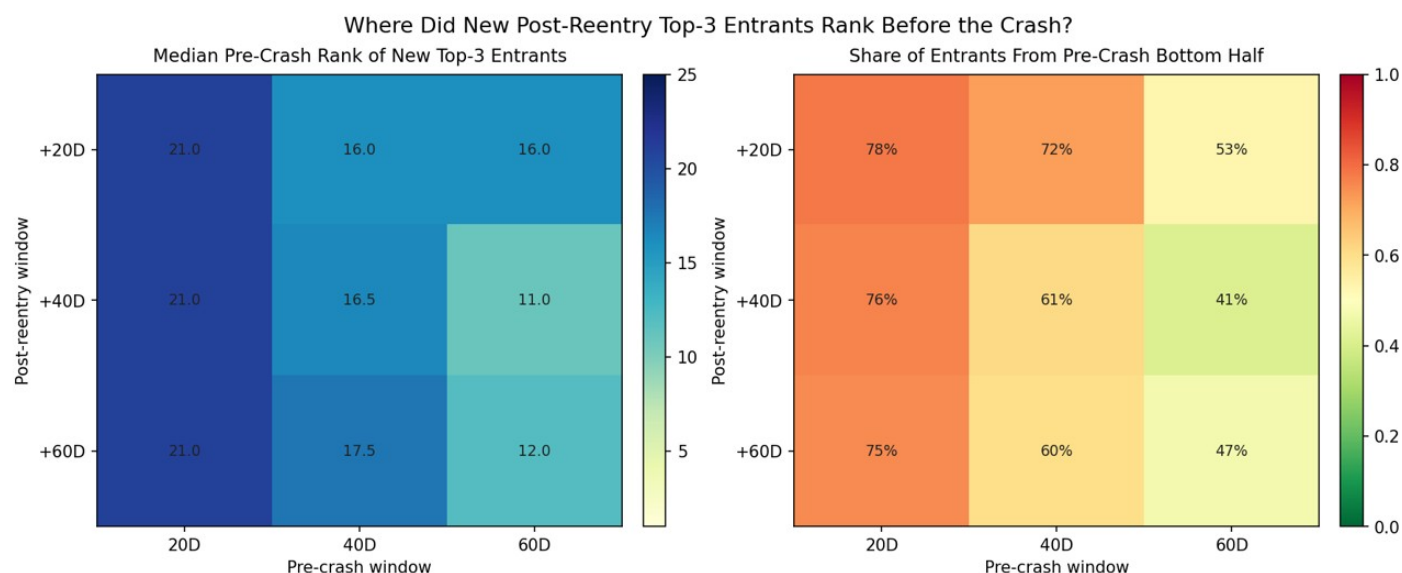


Source: FactSet, Morgan Stanley Research.

[Exhibit 10](#) provides the other side of the leadership reset: the industries that subsequently entered the Top Three were generally not close contenders before the crash. Depending on the measurement window, the median new entrant had ranked between 11th and 21st beforehand. The result is most pronounced when the shorter 20-day pre-crash window is used, where the median new leader had previously ranked 21st across all three post-crash horizons. A large proportion of the new leaders also came from the bottom half of the pre-crash industry ranking. Using the 20-day pre-crash window, approximately 75–78% of subsequent Top Three entrants originated from the bottom half. The corresponding shares remain substantial when longer pre-crash windows are used, ranging from 60–72% for the 40-day window and 41–53% for the 60-day window.

Leadership rotation has therefore tended to extend beyond the industries immediately below the former winners; in many cases, it has elevated industries that had previously been clear laggards.

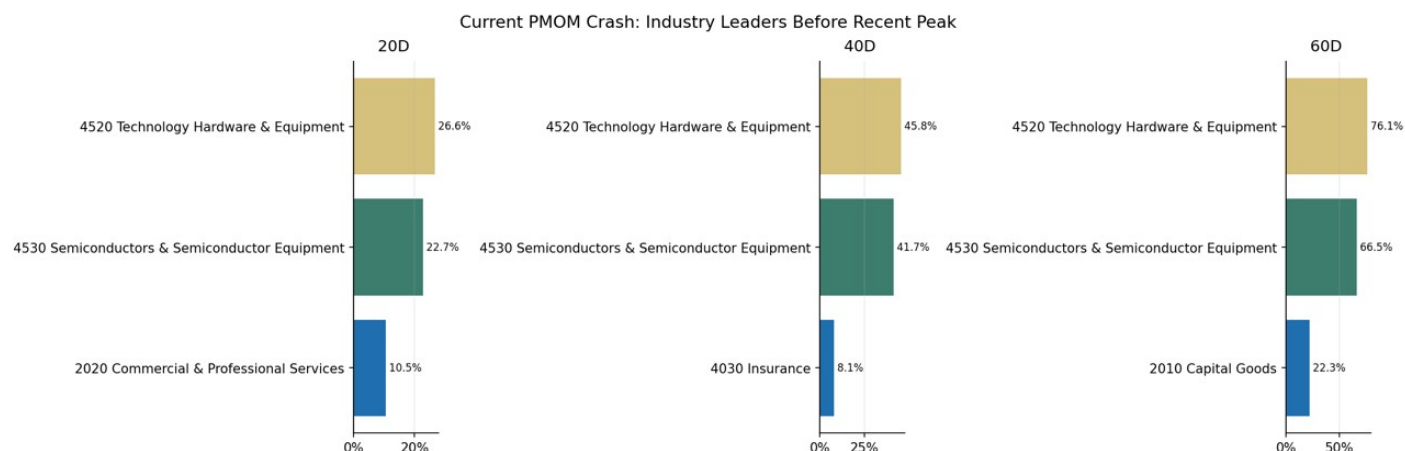
Exhibit 10: Where did new Top Three industry groups rank before the crash?



Source: FactSet, Morgan Stanley Research.

The current Momentum cycle provides a useful illustration of this historical pattern. [Exhibit 10](#) shows that, prior to the recent Momentum peak, Technology Hardware & Equipment and Semiconductors & Semiconductor Equipment dominated industry rankings across the 20-, 40-, and 60-day lookback windows. Their leadership was both broad and persistent, while the identity of the third-ranked industry varied only modestly across horizons, underscoring how concentrated Momentum leadership had become around the AI investment theme. This concentration makes the recent unwinding appear similar to previous episodes in which crowded leadership subsequently gave way to a broader market rotation.

Taken together, this suggests that investors should distinguish between current leadership and future leadership. While Technology Hardware and Semiconductors may ultimately regain their dominant position if their structural earnings outlook continues to improve, historical evidence indicates that prior leadership alone has offered little predictive power for post-crash leadership. Instead, large Momentum corrections have typically reset the opportunity set, allowing previously overlooked industries to emerge as the next winners.

Exhibit 11: Top Three Industry Group leaders before recent Momentum peak

Source: FactSet, Morgan Stanley Research.

Investment Conclusion

Taken together, the historical evidence suggests that the current Momentum unwinding should be viewed as a transition rather than an endpoint. History argues against rebuilding exposure indiscriminately before stabilization has been confirmed, but it also suggests that waiting for perfect confirmation can be costly.

Investors should therefore use the current transition period to identify companies exhibiting strengthening price Momentum, improving earnings estimate revisions, and resilient Quality characteristics, before broadening exposure once the stabilization framework generates a valid re-entry signal. At the industry level, previous leaders should not be assumed to regain leadership automatically, reinforcing the importance of focusing on improving fundamentals rather than extrapolating the last Momentum cycle.

Factor Monitor – Update to July 31, 2026

Methodology

Factor return calculation: To evaluate historical factor performance, we rank stocks as of month-end within defined universes and form quintile portfolios based on the underlying factor values. We calculate performance based on an equal-weighted cohort of long top quintile and short bottom quintile stocks (i.e., long the top 20th percentile of stocks within the defined universe and short those in the bottom 20th percentile), rebalanced monthly. We then calculate the performance of the time series of this L/S market-neutral portfolio over various time horizons.

Composite formation: To calculate the composite factors, we first z-score the individual factor values at each monthly observation within the defined universe. Individual factor z-scores are then averaged into composite scores for each stock on an equal-weighted basis.

Exhibit 12: Morgan Stanley Factor Structure (Definitions can be found in [Appendix – Factor Definitions](#))

Composite Value	Composite Growth	Composite Sentiment	Composite Quality
Tangible Book to Price	Y/Y Dividend Growth	1M Price Reversal	Accruals
Earnings Yield	Y/Y Earnings Growth	12M-1M Residual Momentum	<i>Low Accruals</i>
Total Yield	LT Growth Forecast	Earnings Revisions	<i>Low Short-Term Accruals</i>
Free Cash Flow		<i>Earnings Revisions Breadth</i>	Earnings Stability
<i>Free Cash Flow to Price</i>		<i>Earnings Estimate Revision</i>	<i>Low Estimate Dispersion</i>
<i>Free Cash Flow to EV</i>		Sales Revisions	<i>Low ROE Variability</i>
		<i>Sales Revision Breadth</i>	<i>Sales Stability</i>
		<i>Sales Estimate Revision</i>	Profitability
			ROE
			<i>Gross Profit to Assets</i>
			<i>Gross Margin</i>
			<i>Operating Leverage</i>
			Financial Leverage
			<i>Cash Flow Coverage</i>
			<i>Cash Flow to Debt</i>
			Operational Efficiency
			<i>Capex to Sales</i>
			<i>Y/Y Change in Inventory to Sales</i>
			<i>Low Y/Y Change in No. of Employees</i>

Source: Morgan Stanley Research

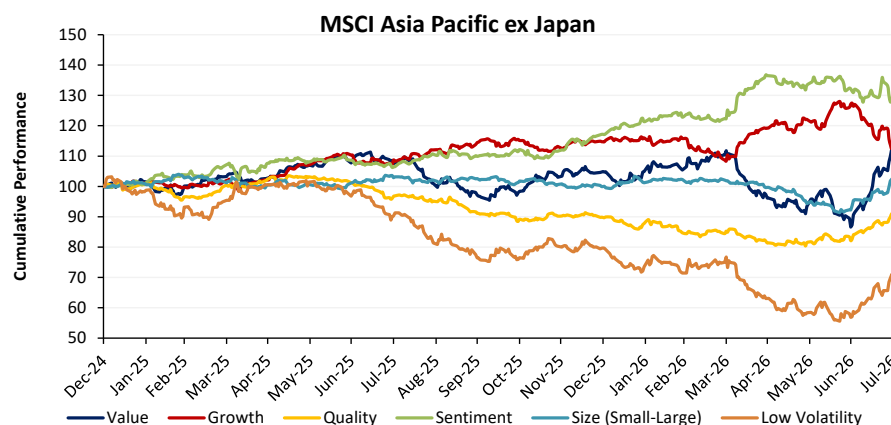
Asia Pacific ex Japan – Factor Monitor

Exhibit 13: Asia Pacific ex Japan – Factor Performance Summary

As of: 7/31/2026		Asia Pacific ex Japan			
Category	Factor Description	Jul-2026	Jun-2026	2026	
Value	Tangible Book/Price	21.5%	-7.9%	-5.2%	
	Earnings Yield	25.5%	-5.7%	4.0%	
	High Total Yield	18.8%	-5.7%	-3.8%	
	High FCF Yield	15.0%	-5.2%	-13.0%	
	Value Composite	26.6%	-7.3%	-6.5%	
Quality	Low Accruals	9.8%	-5.0%	-10.0%	
	High Earnings Stability	7.8%	1.1%	-6.2%	
	High Profitability	1.3%	5.0%	-0.1%	
	Low Leverage	6.3%	1.5%	-9.3%	
	High Operating Efficiency	7.3%	-2.3%	-15.4%	
	Quality Composite	9.9%	0.8%	-7.7%	
Growth	Y/Y Dividend Growth	-4.9%	2.9%	3.8%	
	Y/Y Earnings Growth	-8.2%	6.7%	-2.1%	
	Long Term Growth Forecast	-19.6%	4.9%	28.7%	
	Growth Composite	-9.0%	4.1%	-1.1%	
Sentiment	1M Reversal	24.6%	-14.2%	-22.0%	
	12M-1M Residual Momentum	-15.6%	3.6%	7.7%	
	Earnings Revision	-9.6%	4.5%	15.0%	
	Sales Revision	-9.0%	5.2%	19.6%	
	Sentiment Composite	-0.7%	-0.9%	5.7%	
Others	12M Price Momentum	-31.5%	8.0%	6.7%	
	Small Cap	10.2%	-2.2%	3.3%	
	Low Volatility	19.9%	-2.6%	-19.2%	
	Low Beta	12.4%	-1.0%	4.5%	

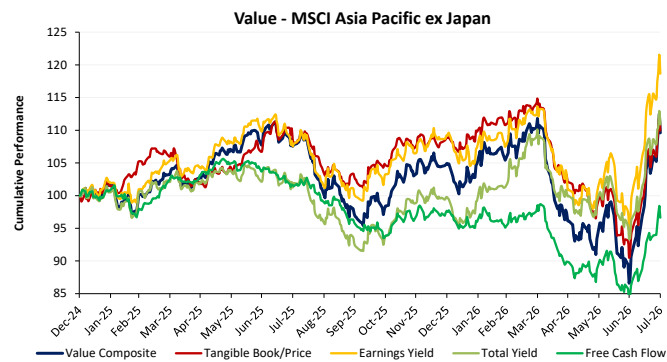
Source: FactSet, Morgan Stanley Research

Exhibit 14: Factor Performance since 2025 – MSCI Asia Pacific ex Japan



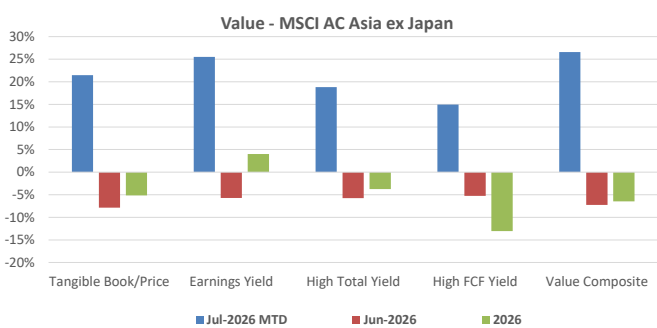
Source: FactSet, Morgan Stanley Research

Exhibit 15: Value Factor Performance – Asia Pacific ex Japan



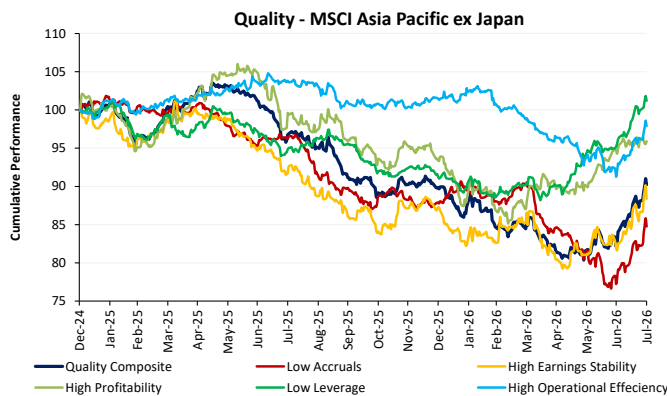
Source: FactSet, Morgan Stanley Research

Exhibit 16: Value Factor Performance – Asia Pacific ex Japan



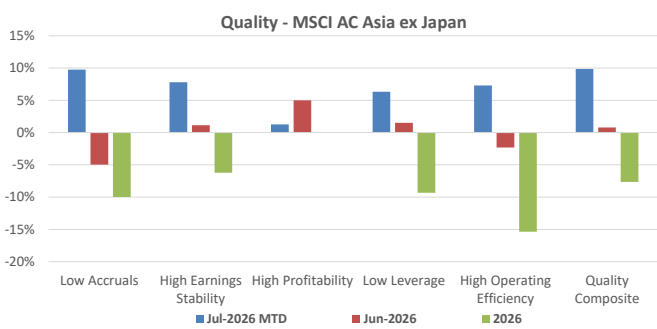
Source: FactSet, Morgan Stanley Research

Exhibit 17: Quality Factor Performance – Asia Pacific ex Japan



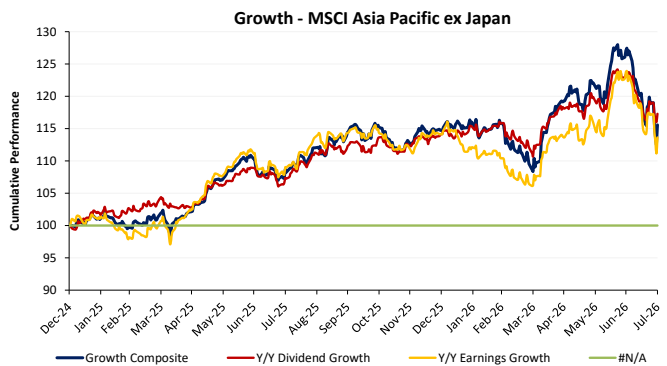
Source: FactSet, Morgan Stanley Research

Exhibit 18: Quality Factor Performance – Asia Pacific ex Japan



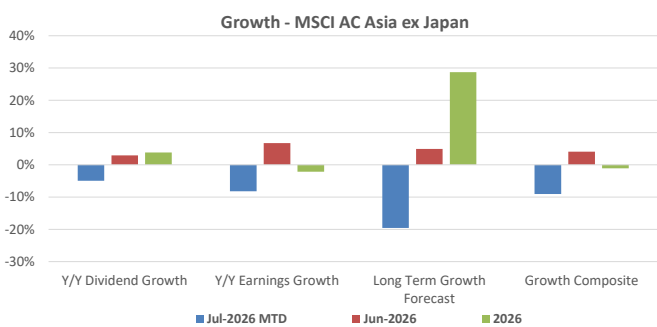
Source: FactSet, Morgan Stanley Research

Exhibit 19: Growth Factor Performance – Asia Pacific ex Japan



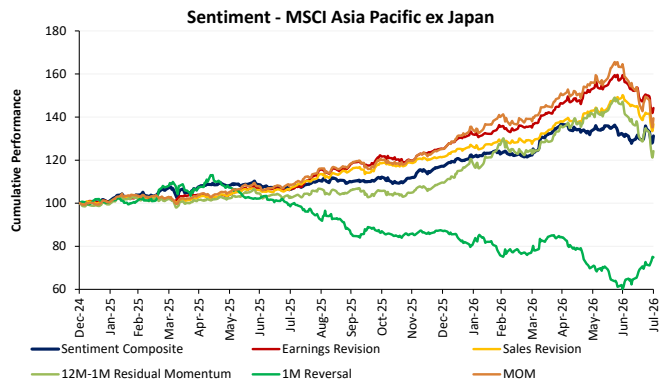
Source: FactSet, Morgan Stanley Research

Exhibit 20: Growth Factor Performance – Asia Pacific ex Japan



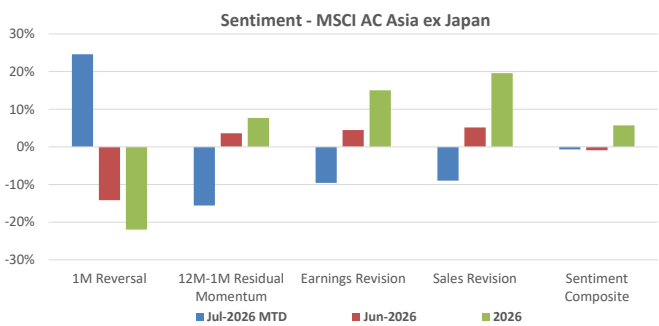
Source: FactSet, Morgan Stanley Research

Exhibit 21: Sentiment Factor Performance – Asia Pacific ex Japan



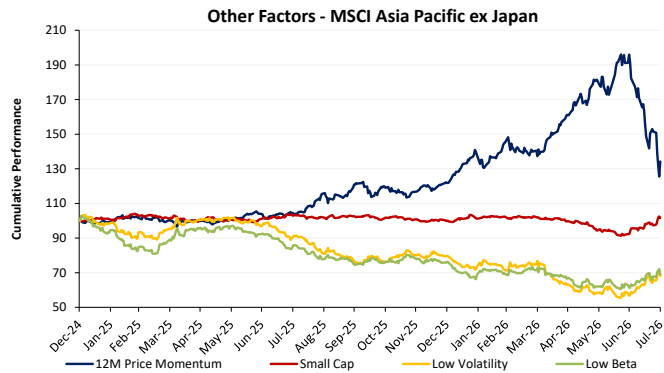
Source: FactSet, Morgan Stanley Research

Exhibit 22: Sentiment Factor Performance – Asia Pacific ex Japan



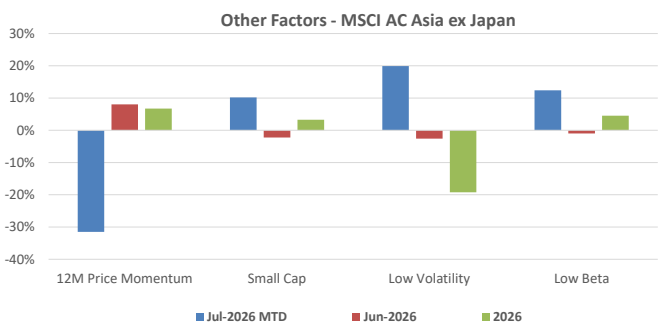
Source: FactSet, Morgan Stanley Research

Exhibit 23: Other Factor Performance – Asia Pacific ex Japan



Source: FactSet, Morgan Stanley Research

Exhibit 24: Other Factor Performance – Asia Pacific ex Japan



Source: FactSet, Morgan Stanley Research

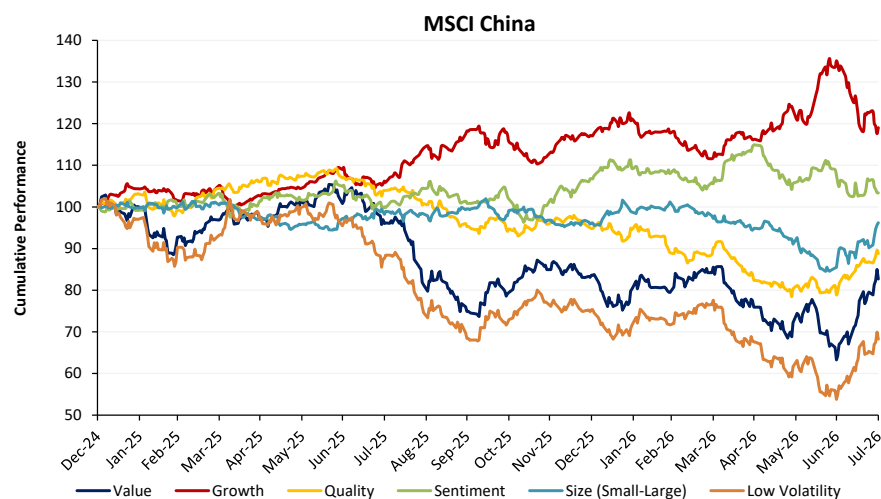
China – Factor Monitor

Exhibit 25: MSCI China – Factor Performance Summary

As of: 7/31/2026

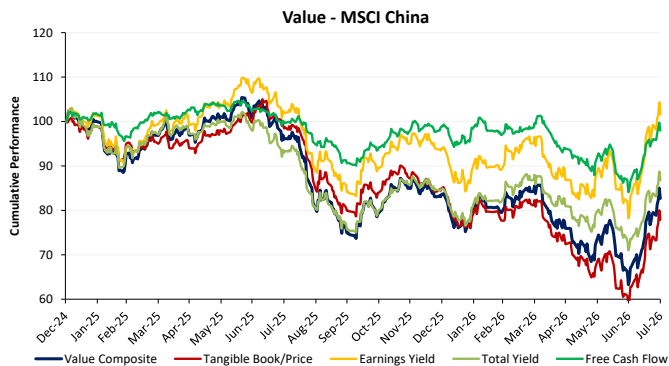
		China		
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	High Total Yield	22.1%	-9.9%	2.3%
	High FCF Yield	16.5%	-7.4%	-1.0%
	Value Composite	30.7%	-12.4%	-1.1%
Quality	Low Accruals	13.4%	-7.3%	-10.0%
	High Earnings Stability	9.2%	-2.1%	6.8%
	High Profitability	4.6%	2.9%	0.4%
	Low Leverage	12.3%	0.5%	5.8%
	High Operating Efficiency	9.3%	-1.5%	-5.9%
	Quality Composite	12.6%	-1.7%	-6.3%
Growth	Y/Y Dividend Growth	-9.0%	6.2%	0.0%
	Y/Y Earnings Growth	-12.3%	10.2%	-0.1%
	Long Term Growth Forecast	-28.8%	12.8%	-1.4%
	Growth Composite	-11.9%	9.5%	1.6%
Sentiment	1M Reversal	39.1%	-21.1%	-12.8%
	12M-1M Residual Momentum	-24.5%	10.7%	-2.6%
	Earnings Revision	-13.6%	10.7%	6.5%
	Sales Revision	-12.6%	12.3%	2.1%
	Sentiment Composite	-4.0%	2.0%	-3.2%
Others	12M Price Momentum	-43.1%	21.3%	-8.0%
	Small Cap	12.6%	-6.2%	0.0%
	Low Volatility	26.9%	-12.7%	-9.5%
	Low Beta	16.5%	-10.8%	1.1%

Source: FactSet, Morgan Stanley Research

Exhibit 26: Factor Performance since 2025 – MSCI China


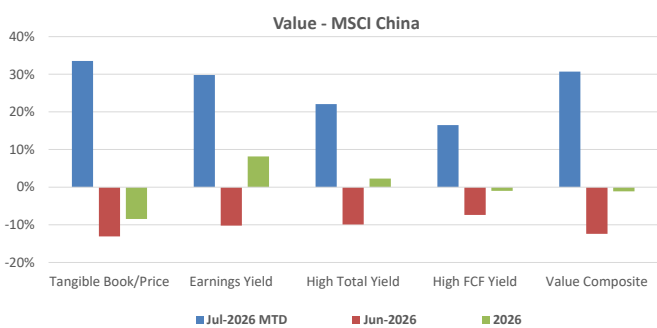
Source: FactSet, Morgan Stanley Research

Exhibit 27: Value Factor Performance – MSCI China



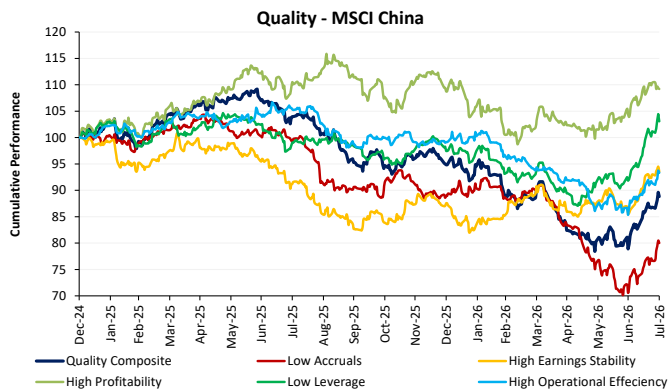
Source: FactSet, Morgan Stanley Research

Exhibit 28: Value Factor Performance – MSCI China



Source: FactSet, Morgan Stanley Research

Exhibit 29: Quality Factor Performance – MSCI China



Source: FactSet, Morgan Stanley Research

Exhibit 30: Quality Factor Performance – MSCI China



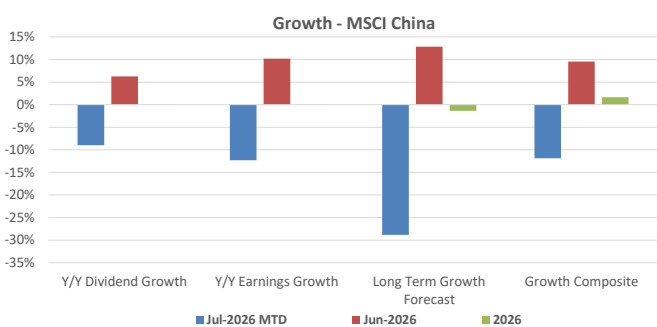
Source: FactSet, Morgan Stanley Research

Exhibit 31: Growth Factor Performance – MSCI China



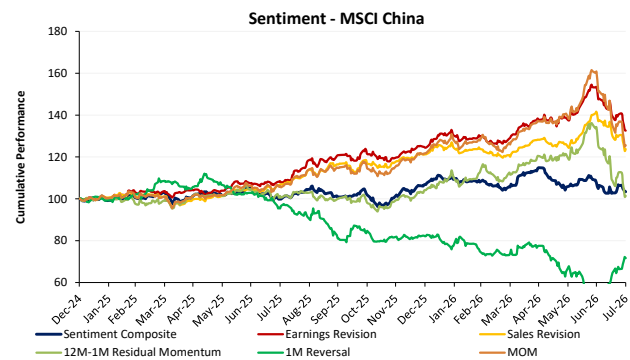
Source: FactSet, Morgan Stanley Research

Exhibit 32: Growth Factor Performance – MSCI China



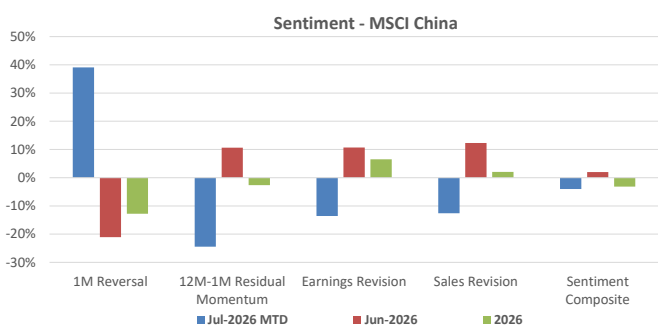
Source: FactSet, Morgan Stanley Research

Exhibit 33: Sentiment Factor Performance – MSCI China



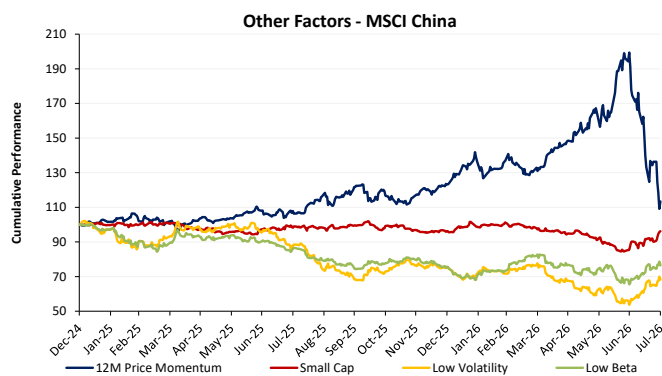
Source: FactSet, Morgan Stanley Research

Exhibit 34: Sentiment Factor Performance – MSCI China



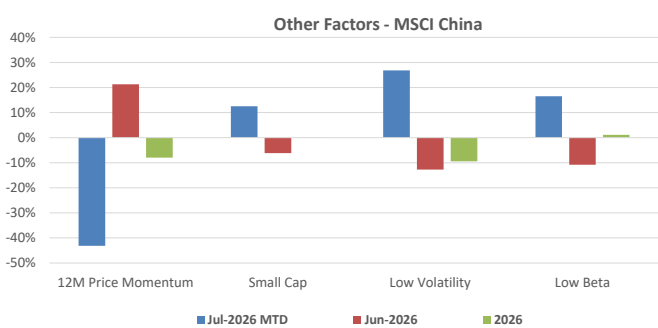
Source: FactSet, Morgan Stanley Research

Exhibit 35: Other Factor Performance – MSCI China



Source: FactSet, Morgan Stanley Research

Exhibit 36: Other Factor Performance – MSCI China



Source: FactSet, Morgan Stanley Research

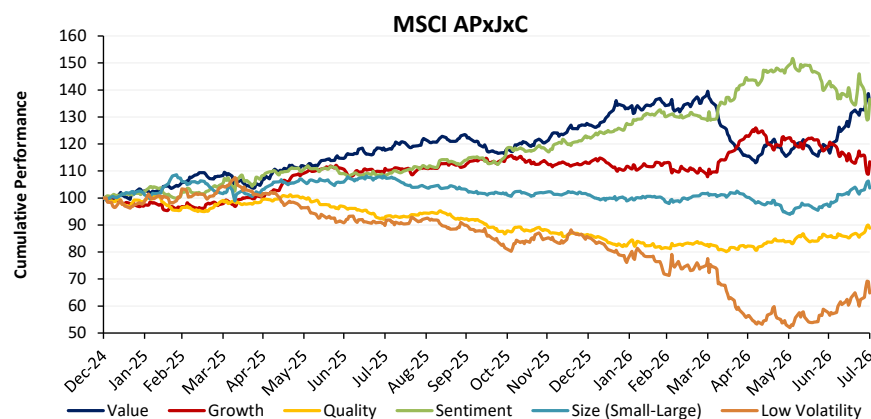
Asia Pacific ex Japan ex China – Factor Monitor

Exhibit 37: APxJxC – Factor Performance Summary

As of: 7/31/2026

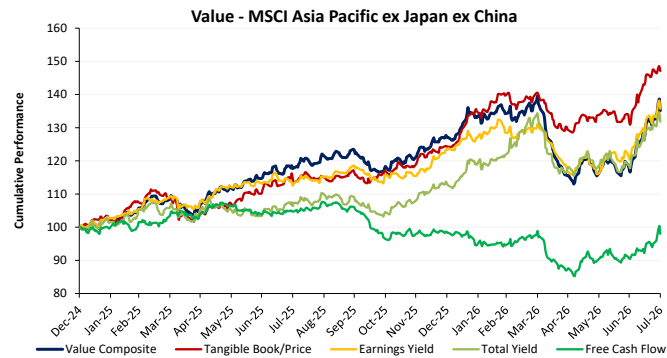
		Asia Pacific ex Japan ex China		
Category	Factor Description	Jul-2026	Jun-2026	2026
Value	Tangible Book/Price	11.4%	-1.1%	12.5%
	Earnings Yield	12.4%	4.1%	-1.1%
	High Total Yield	11.1%	0.8%	-20.6%
	High FCF Yield	8.2%	0.8%	-25.5%
	Value Composite	14.9%	1.9%	-19.9%
Quality	Low Accruals	4.5%	-0.6%	-8.9%
	High Earnings Stability	4.6%	6.1%	-25.9%
	High Profitability	-3.1%	5.5%	-19.8%
	Low Leverage	-2.6%	4.6%	-28.5%
	High Operating Efficiency	6.3%	-2.3%	-28.7%
	Quality Composite	3.5%	2.4%	-31.7%
Growth	Y/Y Dividend Growth	0.1%	-2.1%	9.1%
	Y/Y Earnings Growth	-3.9%	2.7%	-7.9%
	Long Term Growth Forecast	-13.9%	-2.8%	63.2%
	Growth Composite	-4.8%	-2.3%	-6.3%
Sentiment	1M Reversal	5.0%	-4.5%	-37.5%
	12M-1M Residual Momentum	-6.7%	-4.8%	9.1%
	Earnings Revision	-7.2%	-1.0%	6.2%
	Sales Revision	-5.5%	-2.5%	31.7%
	Sentiment Composite	-4.2%	-3.7%	0.4%
Others	12M Price Momentum	-15.3%	-8.5%	24.6%
	Small Cap	6.9%	2.6%	9.2%
	Low Volatility	12.9%	8.3%	-40.6%
	Low Beta	10.2%	7.7%	-13.3%

Source: FactSet, Morgan Stanley Research

Exhibit 38: Factor Performance since 2025 – MSCI Asia Pacific ex Japan ex China


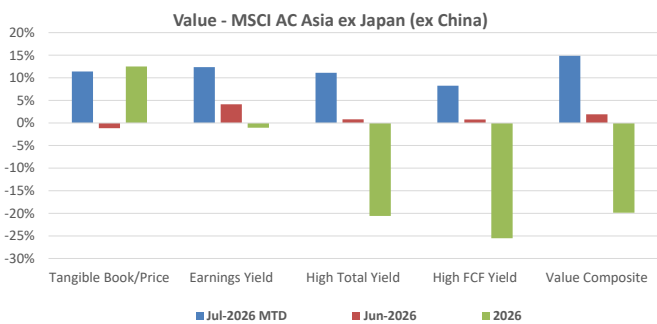
Source: FactSet, Morgan Stanley Research

Exhibit 39: Value Factor Performance – MSCI APxJxC



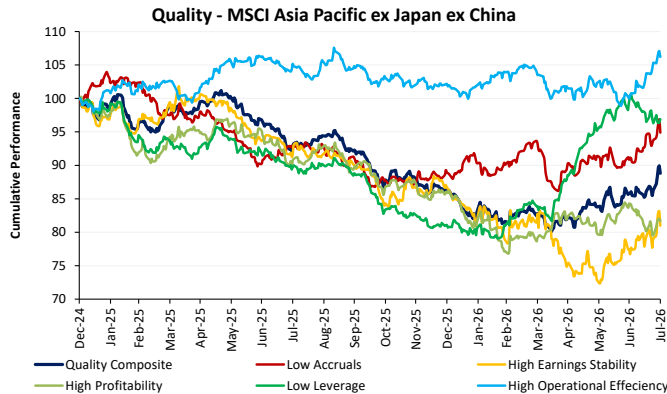
Source: FactSet, Morgan Stanley Research

Exhibit 40: Value Factor Performance – MSCI APxJxC



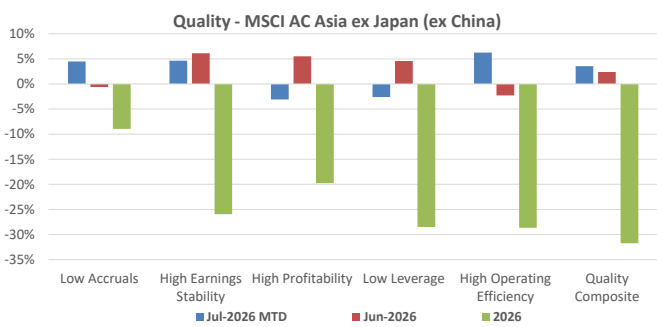
Source: FactSet, Morgan Stanley Research

Exhibit 41: Quality Factor Performance – MSCI APxJxC



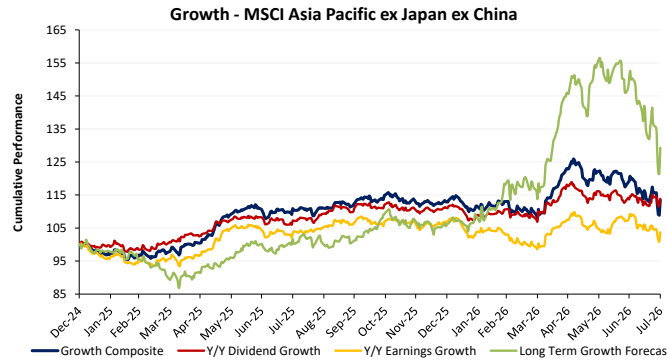
Source: FactSet, Morgan Stanley Research

Exhibit 42: Quality Factor Performance – MSCI APxJxC



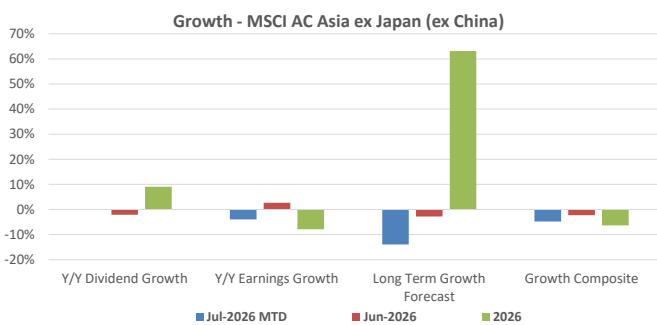
Source: FactSet, Morgan Stanley Research

Exhibit 43: Growth Factor Performance – MSCI APxJxC



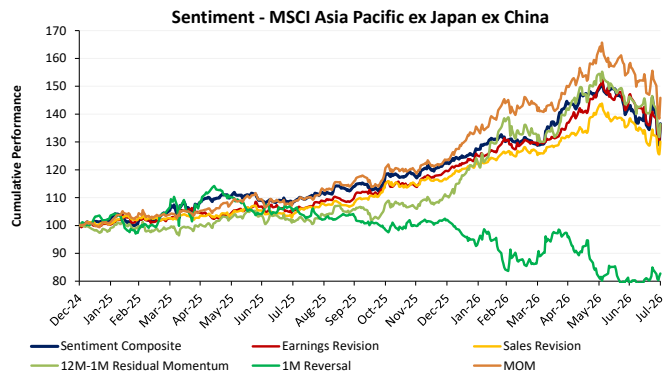
Source: FactSet, Morgan Stanley Research

Exhibit 44: Growth Factor Performance – MSCI APxJxC



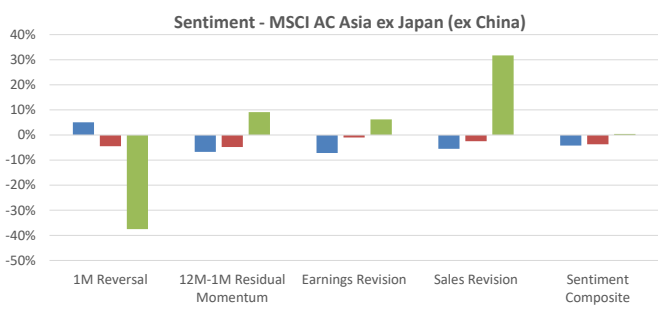
Source: FactSet, Morgan Stanley Research

Exhibit 45: Sentiment Factor Performance – MSCI APxJxC



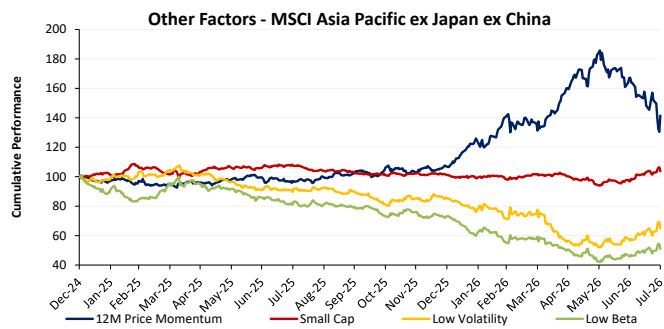
Source: FactSet, Morgan Stanley Research

Exhibit 46: Sentiment Factor Performance – MSCI APxJxC



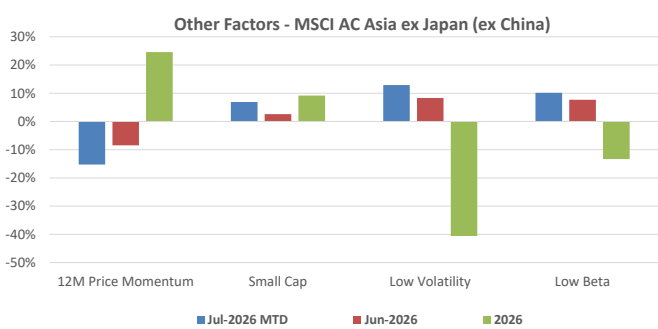
Source: FactSet, Morgan Stanley Research

Exhibit 47: Other Factor Performance – MSCI APxJxC



Source: FactSet, Morgan Stanley Research

Exhibit 48: Other Factor Performance – MSCI APxJxC



Source: FactSet, Morgan Stanley Research

Factor Performance by Market and Sector

Exhibit 49: YTD Factor Performance Summary – by MSCI Market

Category	Factor Description	APXJ	Market Neutral	Australia	China	Hong Kong	Taiwan	Korea	Singapore	Malaysia	Philippines	Indonesia	India	Thailand
Value	Tangible Book/Price	-5.2%	-0.5%	12.3%	-8.4%	20.7%	-23.4%	19.7%	8.0%	10.4%	-8.6%	56.8%	-4.3%	12.6%
	High Total Yield	-3.8%	2.1%	32.1%	2.3%	31.1%	-43.9%	20.9%	21.1%	10.1%	-3.5%	70.6%	-8.2%	-4.1%
	Cheap Fwd P/E	-1.0%	1.1%	22.2%	-6.7%	35.8%	-17.8%	41.1%	23.2%	5.7%	3.7%	38.1%	-6.1%	-8.7%
	High FCF Yield	-13.0%	-4.7%	2.9%	-1.0%	16.5%	-38.4%	-17.9%	17.2%	-0.1%	-14.9%	18.7%	-2.8%	-8.8%
	Value Composite	-6.5%	-0.5%	29.7%	-1.1%	32.8%	-44.3%	21.8%	30.0%	-7.1%	-6.4%	56.0%	-6.6%	7.7%
Quality	Low Accruals	-10.0%	-7.4%	-0.2%	-10.0%	-4.1%	9.8%	-22.3%	-2.4%	4.7%	-0.5%	22.1%	-3.0%	-4.3%
	High Earnings Stability	-6.2%	1.9%	-5.5%	6.8%	14.4%	-30.9%	-5.8%	23.5%	-6.9%	10.2%	33.0%	-2.7%	-1.9%
	High Profitability	-0.1%	1.9%	-24.6%	0.4%	-14.5%	14.9%	5.0%	2.0%	-11.9%	2.9%	-13.7%	2.5%	-8.3%
	Low Leverage	-9.3%	8.1%	-13.4%	5.8%	-5.6%	30.9%	9.9%	-5.6%	-0.5%	8.8%	32.7%	2.5%	9.5%
	High Operating Efficiency	-15.4%	-1.9%	6.3%	-5.9%	0.1%	0.3%	21.8%	32.4%	0.0%	-23.4%	50.4%	-10.7%	2.1%
	Quality Composite	-7.7%	-1.6%	-2.3%	-6.3%	-0.8%	2.4%	-8.3%	23.5%	-8.4%	7.9%	50.6%	-0.5%	1.0%
Growth	Y/Y Dividend Growth	3.8%	-1.4%	-21.2%	0.0%	0.7%	4.2%	-6.5%	-15.2%	-0.2%	3.1%	-13.3%	2.0%	-20.2%
	Y/Y Earnings Growth	-2.1%	2.0%	-14.7%	-0.1%	-15.7%	14.1%	1.9%	-7.3%	25.8%	2.9%	-14.9%	-0.2%	-12.8%
	Long Term Growth Forecast	28.7%	7.2%	-29.3%	-1.4%	-12.7%	48.6%	1.9%	-9.3%	17.4%	28.9%	-2.5%	22.3%	13.1%
	Growth Composite	-1.1%	0.8%	-11.1%	1.6%	-9.7%	18.2%	-3.3%	-6.2%	-8.1%	5.5%	-25.0%	0.1%	-7.5%
Sentiment	1M Reversal	-22.0%	-8.2%	-18.0%	-12.8%	8.1%	-12.7%	-43.7%	-5.9%	31.3%	-24.3%	46.1%	4.0%	-2.5%
	12M-1M Residual Momentum	7.7%	4.4%	9.6%	-2.6%	-6.9%	24.4%	37.9%	24.0%	-17.1%	17.5%	-29.0%	-3.3%	30.6%
	Earnings Revision	15.0%	9.7%	-2.3%	6.5%	30.6%	9.3%	65.3%	-12.0%	-11.3%	-7.3%	-13.1%	-3.7%	1.9%
	Sales Revision	19.6%	0.9%	1.9%	2.1%	2.9%	0.4%	31.9%	-5.9%	-11.4%	5.5%	-14.3%	-4.0%	-4.3%
	Sentiment Composite	5.7%	7.0%	-6.6%	-3.2%	26.9%	25.3%	32.6%	-10.5%	-13.5%	0.6%	-18.8%	-11.2%	18.7%
Others	12M Price Momentum	6.7%	5.1%	7.1%	-8.0%	-11.1%	48.8%	52.5%	19.6%	-21.1%	7.3%	-29.2%	-0.9%	11.5%
	Small Cap	3.3%	-4.2%	-4.7%	0.0%	0.1%	-32.5%	-38.0%	-8.6%	15.2%	-4.8%	28.4%	5.7%	-10.8%
	Low Volatility	-19.2%	-10.3%	27.2%	-9.5%	7.5%	-48.2%	-34.1%	27.5%	-2.3%	-10.4%	30.0%	-10.1%	-0.9%
	Low Beta	4.5%	-6.4%	12.6%	1.1%	10.9%	-25.4%	-52.2%	31.8%	-7.0%	-11.3%	13.0%	-8.0%	-8.6%

Source: FactSet, MSCI, Morgan Stanley Research

Exhibit 50: YTD Factor Performance Summary – by GICS Sector

Category	Factor Description	APXJ	Sector Neutral	Energy	Materials	Industrials	Cons Disc	Cons Stap	Health Care	Financials	Info Tech	Comm Serv	Utilities	Real Estate
Value	Tangible Book/Price	-5.0%	7.7%	38.1%	43.4%	2.9%	15.6%	-1.4%	3.7%	10.4%	-16.9%	-14.2%	9.6%	1.6%
	High Total Yield	-3.5%	14.7%	28.0%	36.0%	4.9%	23.5%	2.8%	9.7%	18.0%	-3.1%	26.6%	15.3%	4.0%
	Cheap Fwd P/E	-1.3%	16.7%	-7.2%	10.0%	16.1%	18.7%	11.4%	10.9%	13.6%	21.0%	13.2%	1.2%	50.0%
	High FCF Yield	-12.2%	11.2%	10.7%	11.9%	4.3%	26.1%	0.2%	10.4%	-	0.4%	30.0%	3.4%	12.4%
	Value Composite	-5.9%	18.3%	25.0%	40.4%	4.0%	32.5%	-2.6%	11.8%	13.1%	13.1%	24.3%	8.9%	19.9%
Quality	Low Accruals	-9.7%	-1.4%	24.5%	16.9%	0.6%	9.6%	-4.7%	-4.9%	-	-22.2%	-4.6%	2.4%	-11.8%
	High Earnings Stability	-4.9%	5.4%	6.8%	5.9%	-1.3%	14.7%	14.2%	-3.3%	0.8%	4.7%	19.3%	7.6%	-2.3%
	High Profitability	-0.3%	6.4%	-43.1%	-5.3%	11.5%	10.0%	3.5%	6.3%	0.1%	25.4%	12.6%	-10.8%	3.2%
	Low Leverage	-8.7%	13.5%	21.2%	11.0%	5.9%	11.8%	-13.6%	16.5%	-	32.1%	3.1%	4.5%	4.9%
	High Operating Efficiency	-15.2%	0.0%	-7.2%	16.9%	-1.9%	-1.3%	14.4%	5.1%	2.8%	-13.2%	-27.5%	-2.8%	5.7%
	Quality Composite	-7.6%	4.7%	-2.7%	11.4%	2.0%	15.9%	12.1%	5.1%	-1.3%	-1.6%	-0.4%	-12.4%	7.0%
Growth	Y/Y Dividend Growth	3.1%	-1.4%	-1.4%	-20.6%	-14.0%	-1.0%	6.7%	14.7%	5.7%	2.6%	-26.9%	20.6%	-10.0%
	Y/Y Earnings Growth	-2.7%	-2.7%	-37.6%	-13.9%	4.4%	-8.9%	7.2%	28.3%	-12.6%	6.1%	-24.6%	8.3%	3.1%
	Long Term Growth Forecast	24.7%	3.8%	-9.8%	-24.2%	7.1%	-1.5%	-15.9%	-6.1%	-16.1%	71.1%	-18.7%	2.3%	-13.6%
	Growth Composite	-2.6%	-0.4%	-26.3%	-19.1%	-9.1%	4.8%	3.9%	21.8%	-3.7%	19.1%	-22.0%	14.7%	-6.4%
Sentiment	1M Reversal	-23.3%	-4.3%	-9.5%	5.0%	-5.8%	-11.5%	13.6%	-1.7%	-1.4%	-30.5%	-14.6%	19.3%	19.9%
	12M-1M Residual Momentum	7.3%	12.5%	-39.4%	-10.5%	11.1%	-0.3%	11.0%	5.7%	6.9%	63.7%	-6.4%	-9.8%	9.9%
	Earnings Revision	14.2%	12.8%	7.5%	-1.8%	2.8%	20.3%	4.5%	30.8%	17.8%	28.0%	0.0%	-15.1%	-8.3%
	Sales Revision	17.8%	10.4%	20.8%	-10.2%	3.8%	11.5%	9.3%	21.8%	7.9%	27.3%	2.0%	3.5%	-8.1%
	Sentiment Composite	3.2%	15.2%	-16.5%	-7.0%	6.2%	24.7%	15.3%	26.0%	21.3%	44.9%	-25.6%	-6.7%	6.8%
Others	12M Price Momentum	5.1%	4.3%	-7.8%	-27.8%	-2.5%	5.3%	4.2%	-0.7%	4.8%	28.5%	-8.9%	-15.2%	0.1%
	Small Cap	3.3%	-3.9%	22.8%	20.9%	-3.9%	-6.6%	4.7%	0.3%	-0.3%	-31.5%	-16.8%	2.9%	-12.8%
	Low Volatility	-17.2%	-4.8%	-21.2%	4.0%	-14.3%	2.5%	5.5%	-5.2%	9.5%	-45.3%	67.1%	2.1%	4.2%
	Low Beta	7.2%	-1.7%	-37.4%	-4.7%	-4.7%	8.8%	2.2%	1.0%	2.3%	-25.9%	38.4%	21.8%	-13.2%

Source: FactSet, MSCI, Morgan Stanley Research

Appendix – Factor Definitions

Exhibit 51: Factor Definitions

Category	Factor Name	Factor Definition
Value	Tangible Book / Price	(Last reported book value of common equity - Intangible items) / Current Market Cap
	Earnings Yield	Trailing 12M Earnings / Current Market Cap
	Total Yield	Dividend Yield plus Buyback Yield
	Free Cash Flow Sub Composite	Average of Z-scores of Free Cash Flow Yield & Free Cash Flow / EV
	Free Cash Flow Yield	Trailing 12M Free Cash Flow (Operating Cash Flow - Net Capex) / Current Market Cap
	Free Cash Flow / EV	Trailing 12M Free Cash Flow (Operating Cash Flow - Net Capex) / EV
	Value Composite	Average of Z-scores of Tangible Book / Price, Earnings Yield, Total Yield & Free Cash Flow Composite
Growth	Y/Y Dividend Growth	Y/Y Change in DPS (percentage change of the latest reported 12M DPS compared to what it was 1 Year ago)
	Y/Y Earnings Growth	Percentage change in the trailing 12M Net Income over the last 1 Year. Not used if Net Income 1-Year ago were negative.
	Long Term Growth Forecast	IBES mean 5-Year EPS Growth Forecast
	Growth Composite	Average of Z-scores of Y/Y Dividend Growth, Y/Y Earnings Growth & Long Term Growth Forecast
Sentiment	1M Reversal	Reciprocal of 1m trailing Total Return
	12M-1M Residual Momentum	12-Month (less 1-Month) Momentum after removing the effects of Market Beta, Size, and Value (residuals from a cross-sectional regression)
	Earnings Revisions Sub Composite	Average of Z-scores of Earnings Revisions Breadth & Earnings Estimate Revisions
	Earnings Revisions Breadth	(Number of Upward - Number of Downward Revisions) / Total Number of Earnings Revisions in the last 4-Weeks, time-weighted between FY1 and FY2
	Earnings Estimate Revisions	Time-Weighted 1M change in IBES Median FY1 and FY2 EPS Estimate scaled by Price
	Sales Revisions Sub Composite	Average of Z-scores of Sales Revisions Breadth & Sales Estimate Revisions
	Sales Revisions Breadth	(Number of Upward - Number of Downward Revisions) / Total Number of Sales Revisions in the last 4-Weeks, time-weighted between FY1 and FY2
	Sales Estimate Revisions	Time-Weighted 1m change in the IBES median Sales estimate scaled by market cap
	Sentiment Composite	Average of Z-scores of 1M Reversal, 12M-1M Residual Momentum, Earnings Revisions & Sales Revisions
Quality	Low Accruals Sub Composite	Average of Z-scores of Low Accruals & Low Short-Term Accruals
	Low Accruals	Y/Y change in Net Operating Assets / Total Assets a Year Ago (low values are favored)
	Low Short-Term Accruals	Y/Y change in current Net Operating Assets / Average Assets (low values are favored)
	High Earnings Stability Sub Composite	Average of Z-scores of Low Estimate Dispersion, Low ROE Variability & High Sales Stability
	Low Estimate Dispersion	Standard deviation of IBES EPS estimates divided by absolute value of mean IBES estimate (low values are favored)
	Low ROE Variability	Trailing 5-Year standard deviation of ROE divided by 5-Year absolute mean of ROE (low values are favored)
	High Sales Stability	5-Year standard deviation of Y/Y Sales Growth
	High Profitability Sub Composite	Average of Z-scores of Gross Profit / Assets, Gross Margin & Operating Leverage
	Gross Profit / Assets	(Trailing 12M Revenue - COGS) / Total Assets from 12M Ago
	Gross Margin	Trailing 12M Revenue - COGS / Trailing 12M Revenue
	Operating Leverage	12M change in EBIT / 12M change in Sales
	High Operating Efficiency Sub Composite	Average of Z-scores of Low Capex/Sales, Low Y/Y Change in Inventory/Sales & Low Y/Y Change in Num of Employees
Others	Low Capex/Sales	Trailing 12M Net Capital Expenditure / Trailing 12M Revenue (low values are favored)
	Low Y/Y Change in Inventory/Sales	Difference between the most recent Inventory / Sales and Inventory Sales from 12M Ago
	Low Y/Y Change in Num of Employees	Y/Y percent change in Number of Employees
	Quality Composite	Average of Z-scores of Low Accruals, High Earnings Stability, High Profitability & High Operating Efficiency
	Low Beta	36M Stock Beta to the cap-weighted return of stocks in combination in regional model universe (low values are favored)
Others	Low Volatility	Standard deviation of the last 12M Returns
	Size (Small-Large)	Total Market Cap
	12M Price Momentum	12-Month Trailing Total Return

Source: Morgan Stanley Research

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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